Canadian Natural Resources Limited (CNQ)

Long-Life Assets and Capital Returns Offset Commodity Normalization

CNQ, TSX / NYSE | Energy | Oil and Gas Exploration and Production

OVERWEIGHT

Price (22 Aug 2024):	C$48.74
Price Target (Dec-25):	C$54.00

INVESTMENT THESIS

Canadian Natural generated C$3.61bn of adjusted funds flow in Q2 and produced 1.286mmboe/d despite planned maintenance. Adjusted net earnings increased to C$1.89bn, demonstrating the cash resilience of long-life oil sands and thermal assets.

The investment debate is capital allocation through commodity volatility. Trans Mountain expansion improves egress and differentials, while net debt below C$10bn supports the company's 100%-of-free-cash-flow shareholder-return tier.

Our C$54 December 2025 target applies 7.7x FY25E adjusted funds flow per share of C$7.05, cross-checked against normalized earnings and free cash flow. The rating reflects income and quality, not a bullish long-term oil-price assumption.

- Q2 adjusted net earnings were C$1.89bn, adjusted funds flow C$3.61bn and diluted adjusted EPS C$0.88.
- Production averaged 1.286mmboe/d, up 8% year over year, with thermal output near 268mbbl/d and strong July oil-sands performance.
- Our C$54 December 2025 target implies 10.8% price upside. Estimated dividends add 5.7%, for approximately 16.5% total return.

COMPANY OVERVIEW

CNQ is Canada's largest oil and gas producer, with oil sands mining, thermal, conventional liquids and natural gas. Scale, low decline rates and operating flexibility differentiate the franchise; oil prices, differentials, maintenance and carbon policy drive volatility.

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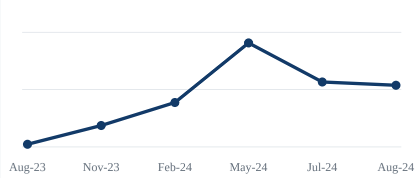
Independent research exercise

PRICE PERFORMANCE



Split-adjusted month-end closes; final point 22 Aug 2024.

COMPANY DATA

Shares outstanding	~2.12bn
Market cap	~C$103bn
52-week range	~C$40-56
Quarterly dividend	C$0.525
Q2 net debt	C$9.23bn
Q2 production	1.286mmboe/d
Q2 adjusted funds flow	C$3.61bn
Latest results	Q2 2024

KEY ESTIMATES

C$mm unless noted	FY22A	FY23A	FY24E	FY25E
Revenue net roy.	42,298	35,968	39,500	40,500
Adjusted EPS	5.60	3.87	3.35	3.55
AFF / share	8.61	6.93	6.70	7.05
Production (mboe/d)	1,281	1,332	1,300	1,355
Regular div. / sh.	1.55	1.85	2.10	2.25

Q2 2024: STRONG CASH FLOW THROUGH PLANNED MAINTENANCE

The quarter included oil-sands turnaround activity yet still delivered higher production and earnings. TMX start-up supports Canadian crude egress, while natural-gas prices remained weak. The result reinforces portfolio resilience without removing commodity sensitivity.

Metric	Q2/23	Q1/24	Q2/24	Y/Y	Read-through
Production (mboe/d)	1,194	1,333	1,286	+8%	Maintenance quarter
Adjusted net earnings	C$1,256	C$1,474	C$1,892	+51%	Price and volume
Adjusted EPS	C$0.57	C$0.68	C$0.88	+54%	Split adjusted
Adjusted funds flow	C$2,742	C$3,138	C$3,614	+32%	Strong cash
Thermal (mbbl/d)	~239	~268	~268	Up	Pad performance
Operating cash flow	C$2,745	C$2,868	C$4,084	+49%	Working capital
Shareholder returns	~C$1.4bn	~C$1.7bn	C$1.9bn	Up	Capital return

FORECAST AND EARNINGS FRAMEWORK

Our FY24E model assumes average production near 1.30mmboe/d and WTI in the mid-US$70s. FY25E includes incremental reliability and thermal growth, stable WCS differentials and no sustained oil-price spike. Buybacks support per-share growth now that net debt is below the company threshold.

C$mm unless noted	FY22A	FY23A	FY24E	FY25E	FY26E
Revenue, net royalties	42,298	35,968	39,500	40,500	41,700
Adjusted net earnings	12,863	8,533	7,150	7,450	7,700
Adjusted EPS	5.60	3.87	3.35	3.55	3.75
Adjusted funds flow	19,791	15,274	14,300	14,800	15,300
AFF / diluted share	8.61	6.93	6.70	7.05	7.45
Production (mboe/d)	1,281	1,332	1,300	1,355	1,385
Net capital spending	5,136	4,909	5,400	5,500	5,700
Regular dividend / sh.	1.55	1.85	2.10	2.25	2.40
Year-end net debt	10,525	9,922	~9,500	<10,000	<10,000

NORMALIZE OIL, DO NOT ANNUALIZE A QUARTER

A C$10/bbl change in oil prices can move annual cash flow materially. We therefore value CNQ on a normalized commodity deck and give credit for low decline rates, integration skill and capital discipline rather than simply capitalizing spot earnings.

OPERATING DRIVERS: MINING RELIABILITY, THERMAL GROWTH AND EGRESS

CNQ combines zero-decline mining with low-decline thermal assets and short-cycle conventional opportunities. The mix lowers sustaining capital per barrel and allows spending to move toward the best returns.

Driver	FY23A	Q2/24	FY25E	FY26E	Investment implication
Production	1.332mmboe/d	1.286mmboe/d	1.355mmboe/d	1.385mmboe/d	Per-share growth
Thermal output	Strong	268mbbl/d	Grow	Grow	Low-decline base
WTI assumption	US$78	Spot	US$75	US$75	Normalization
WCS differential	Wide at times	TMX online	~US$13	~US$13	Egress benefit
AFF / share	C$6.93	C$1.68 Q2	C$7.05	C$7.45	Return capacity
Net debt	C$9.9bn	C$9.23bn	<C$10bn	<C$10bn	100% FCF tier

OIL SANDS AND THERMAL

Mining reliability and thermal pad performance determine volume and cost. Planned turnarounds create quarterly noise, while long reserve life supports durable cash generation.

TMX AND COMMODITY EXPOSURE

TMX adds export capacity and can narrow Canadian differentials. Global oil prices remain the larger earnings variable, and weak AECO prices limit natural-gas contribution.

CAPITAL ALLOCATION AND POLICY

Debt below the C$10bn threshold supports higher shareholder returns. Buybacks add value when executed below normalized value; carbon regulation and Pathways spending remain long-duration uncertainties.

VALUATION AND PRICE TARGET

Our December 2025 target is C$54. The primary framework applies 7.66x to our FY25E AFF per share of C$7.05. A cash-flow model and peer comparison provide cross-checks. The multiple reflects the company's quality and growth profile while retaining a discount for the principal risks identified in this report.

Method	Weight	Input	Output	Rationale
AFF multiple	50%	7.66x FY25E C$7.05	C$54	Long-life asset premium
Cash-flow model	30%	Normalized WTI US$75/bbl	C$52	Cash conversion
Peer check	20%	Integrated E&P peers	C$57	Relative valuation
Weighted target	100%		C$54	Rounded target

VALUATION SENSITIVITY

FY25E AFF / multiple	6.0x	6.8x	7.6x	8.4x	9.2x
C$5.99	C$36	C$41	C$46	C$50	C$55
C$6.70	C$40	C$46	C$51	C$56	C$62
C$7.05	C$42	C$48	C$54	C$59	C$65
C$7.40	C$44	C$50	C$56	C$62	C$68

At C$48.74, the shares trade at 6.9x our FY25E AFF per share. The table is a mechanical sensitivity, not a forecast, and does not include dividends or balance-sheet changes.

SCENARIO ANALYSIS

Scenario	Probability	Key assumptions	Value
Bull	25%	WTI >US$85; tight differential; buybacks accelerate	C$66
Base	55%	WTI US$75; stable production; disciplined returns	C$54
Bear	20%	WTI <US$60; weaker gas; returns slow	C$37

The probability-weighted scenario value is C$54. Our C$54 target implies 10.8% price appreciation and approximately 16.5% total return including estimated dividends through December 2025. We rate CNQ Overweight.

CATALYSTS AND RISKS TO OUR RATING

UPSIDE CATALYSTS

- WTI remains above our normalized deck.
- TMX keeps WCS differentials structurally tight.
- Mining reliability and thermal volumes exceed plan.
- Debt reduction accelerates buybacks.

DOWNSIDE RISKS

- Oil prices normalize below US$60/bbl.
- Major turnarounds or upgrader outages reduce output.
- WCS differentials widen despite added egress.
- Carbon policy raises sustaining capital.

METHODOLOGY AND SOURCE NOTES

1. Canadian Natural Q2 2024 results and MD&A released 1 August 2024: https://www.cnrl.com/news-releases/canadian-natural-announces-2024-second-quarter-results/ and https://www.cnrl.com/content/uploads/2024/07/06.30.2024-Q2-MDA.pdf

2. Canadian Natural 2023 Annual Report published 29 February 2024: https://www.cnrl.com/content/uploads/2024/03/2023-Annual-Report.pdf

3. Market data: CNQ raw TSX close of C$48.74 on 22 August 2024 on the post-June-2024 split basis: https://query2.finance.yahoo.com/v8/finance/chart/CNQ.TO?period1=1692748800&period2=1724371200&interval=1d&events=history

4. FY22 regular dividend excludes the C$0.75 special dividend. All forecasts, commodity assumptions, scenarios, rating and target are contemporaneous author estimates based only on the dated sources above.

ANALYST AND MODEL DISCLOSURE

Strict point-in-time cutoff: 23 August 2024. Every factual input and reported result was public by that date. 'A' denotes actual and 'E' denotes the author's contemporaneous estimate; estimates, scenarios, rating and target do not use subsequent actual results or events. Prepared for Akul Veauli as an independent equity-research exercise. It is not affiliated with or endorsed by Canadian Natural Resources, CI Financial, CI Global Asset Management, any dealer or any employer. Non-GAAP measures should be read with company reconciliations.

RATING DEFINITIONS

Rating	Mechanical definition
Overweight	Expected total return above 15% over the stated target horizon.
Neutral	Expected total return between 0% and 15%.
Underweight	Expected total return below 0%.

Expected total return equals price return to the stated target plus estimated dividends over the target horizon. This document is informational and educational only, is not an offer or recommendation, and does not consider any recipient's objectives, financial circumstances, liquidity needs or risk tolerance.